

FUNDING YOUR STARTUP

“Capital doesn't build great startups.
Great startups attract capital.”

LEARNING OBJECTIVES

By the end of this module, participants will learn:

- ✓ Different funding sources
- ✓ How much funding to raise
- ✓ When to raise money
- ✓ Investor expectations
- ✓ Funding strategy

ACTIVITY

How much money do
you think your startup
needs for its first year?



KEY TAKEAWAY

The right funding at the right time can accelerate your startup journey.



FOCUS

Understand your options.
Plan smart. Raise wisely.



GOLDEN RULE

Build value first.
Raise capital second.



PRO TIP

Investors invest in vision, traction and the team behind the idea.



DO YOU REALLY NEED **FUNDING**?

Not every startup requires external investment. Starting small and building smart can take you far.

“

Start where you are.
Use what you have.
Do what you can.

– Arthur Ashe

”

BOOTSTRAPPING



ADVANTAGES

- ✓ Full ownership and control
- ✓ Faster decision making
- ✓ Financial discipline
- ✓ Freedom to innovate
- ✓ Builds resilience



CHALLENGES

- ✗ Slower growth
- ✗ Limited resources
- ✗ Difficult to scale quickly
- ✗ Higher personal risk
- ✗ Harder to attract talent



ASK YOURSELF



Can I start
small?



Can customers
fund growth?



What can I validate
before seeking
investment?



Can I achieve
more with
less?



What is the minimum
viable version of
my idea?



QUICK TIP

Bootstrapping doesn't mean doing everything alone.
It means being smart with resources and focused on value.



ACTIVITY

List five ways to reduce your startup costs
without compromising your idea.

1. _____
2. _____
3. _____
4. _____
5. _____



SOURCES OF FUNDING

There are many ways to fund your startup. Choose the right mix based on your stage, needs and goals.

“

Funding is not about luck. It's about preparation, right choices and perfect timing.

”

MAJOR FUNDING OPTIONS



PERSONAL SAVINGS

Your own money.
Full control and no dilution.



FRIENDS & FAMILY

Early support from people who believe in you.



BANK LOANS

Debt financing with repayment and interest.



GOVERNMENT SCHEMES

Grants, loans and incentives to support startups.



ANGEL INVESTORS

High net-worth individuals who invest and mentor.



VENTURE CAPITAL

Investors who fund high-growth startups for equity.



CROWDFUNDING

Raise small amounts from a large number of people.



INCUBATORS & ACCELERATORS

Funding, mentorship and resources to accelerate growth.



STRATEGIC PARTNERSHIPS

Businesses invest or collaborate for mutual growth.

FUNDING OPTIONS COMPARED

Source	Typical Size	Cost	Equity Given	Best Suited For
Personal Savings	₹10K – ₹50L	None	0%	Ideation / Early Stage
Friends & Family	₹50K – ₹50L	Low	0% – 10%	Early Stage
Bank Loans	₹5L – ₹5Cr+	Interest	0%	Early / Growth Stage
Government Schemes	₹10K – ₹5Cr	Low / None	0%	All Stages
Angel Investors	₹10L – ₹5Cr	Medium	5% – 20%	Early Stage
Venture Capital	₹1Cr – ₹100Cr+	High	20% – 50%+	Growth Stage
Crowdfunding	₹1L – ₹1Cr	Medium	0% / Rewards	Early Stage
Incubators & Accelerators	₹5L – ₹50L	Low / Equity	5% – 10%	Idea / Early Stage
Strategic Partnerships	Varies	Strategic	Varies	Growth Stage

ACTIVITY

Select the three most suitable funding sources for your startup and explain why.

1. _____ Why? _____
2. _____ Why? _____
3. _____ Why? _____



KEY TAKEAWAY

There is no one-size-fits-all funding source. The right funding depends on your stage, needs, control preference and growth goals.



MATCH

Match the source with your stage and requirements.



BALANCE

Balance capital, control and cost for sustainable growth.



BUILD RELATIONSHIPS

Strong relationships open doors to the right funding at the right time.

GOVERNMENT SUPPORT FOR STARTUPS

The Government of India and State Governments offer a wide range of schemes to support entrepreneurs at every stage of their journey.

“

Great ideas need the right support to grow. Leverage government schemes to build, scale and succeed.

”

KEY SCHEMES & INITIATIVES



STARTUP INDIA

Recognition, tax benefits, IPR support, fast-track patents and easier compliance.



STAND-UP INDIA

Loans between ₹10 lakh – ₹1 crore for SC/ST and women entrepreneurs.



PM MUDRA YOJANA

Collateral-free loans up to ₹10 lakh under Shishu, Kishor and Tarun categories.



CGTMSE SCHEME

Collateral-free credit guarantee to MSMEs for loans up to ₹2 crore.



SIDBI SUPPORT

Funds, refinancing, incubation support and special credit initiatives.



STATE STARTUP MISSIONS

Dedicated programs, seed funding, grants, incubation and mentorship.



ATAL INNOVATION MISSION

Support for innovation, incubation centers, Tinkering Labs and ARISE program.



OTHER BENEFITS

Tax holidays, subsidies, easier compliance, mentoring and market access.

BENEFITS YOU CAN AVAIL



Grants & Subsidies

Non-repayable financial support.



Low-interest Loans

Affordable finance to start and grow.



Tax Benefits

Exemptions and deductions.



Mentoring & Networking

Learn from experts and industry leaders.



Incubation & Infrastructure

Access to labs, co-working and resources.



Market Access

Connect with buyers and global markets.



ACTIVITY

Research and write down one government scheme that is most relevant to your startup.

Scheme Name: _____

What it offers: _____

How it can help your startup: _____



Take advantage of the support available today, to build the successful business of tomorrow.



PRO TIP

Keep track of scheme deadlines and eligibility. Apply early and stay compliant.



ANGEL INVESTORS VS VENTURE CAPITAL

Choosing the right type of investor is crucial for your startup's growth journey. Understand the key differences to make the right choice.

“

Investors bring more than money. They bring governance, guidance and growth.

”



ACTIVITY

Identify the stage of your startup and the most suitable investor type.

My Startup Stage: _____ Most Suitable Investor: _____ Why? _____



	ANGEL INVESTORS	VENTURE CAPITAL
Stage	Early Stage (Idea / Prototype / Seed)	Growth Stage (Scaling / Expansion)
Investment Size	₹10 Lakhs – ₹5 Crore	₹1 Crore – ₹100+ Crore
Source of Funds	Personal wealth of individual investors	Institutional funds (VC firms, funds)
Equity Taken	Typically 5% – 20%	Typically 20% – 50%+
Involvement	Active guidance, mentorship & network	Active involvement, governance & reporting
Decision Making	Faster decisions, flexible terms	Detailed due diligence, longer process
Focus	Believe in the founder and the potential	Focus on high growth, scalability & exits
Best For	Startups in ideation, validation and early traction	Startups with proven model, revenue and growth



WHICH IS RIGHT FOR YOU?

Choose based on your startup's:

- ✓ Stage of development
- ✓ Capital requirement
- ✓ Growth plans
- ✓ Type of support you need

“

The right investor accelerates your journey. The wrong one complicates it.

”



BUILD RELATIONSHIPS

Network early. Relationships open doors to the right investors.



BE INVESTOR READY

Prepare well. Great startups attract great investors.



ALIGN GOALS

Ensure alignment in vision, values and expectations.



THINK LONG TERM

The right partnership today drives long-term success.



HOW MUCH FUNDING SHOULD YOU RAISE?

Raising the right amount of funding is critical. Too little can stall your growth. Too much can dilute your ownership.

“

Plan your numbers.
Raise smart.
Grow strong.

”



QUICK TIP

Always plan for a buffer of 15–20% extra over your estimated costs.

KEY COST COMPONENTS TO CONSIDER

COMPONENT	WHAT IT INCLUDES	WHY IT MATTERS
 PRODUCT DEVELOPMENT	Design, prototyping, testing, R&D, tools and technology.	Build a strong product that solves the customer problem.
 MARKETING & SALES	Digital marketing, branding, lead generation, sales team.	Create awareness, acquire customers and drive revenue.
 OPERATIONS	Rent, utilities, admin, logistics, supplies and other expenses.	Keep the business running smoothly every day.
 SALARIES & TEAM	Salaries, contractor fees, benefits and incentives.	Attract and retain the right talent for growth.
 TECHNOLOGY	Software, licenses, cloud, IT infrastructure.	Power your operations and ensure scalability.
 OFFICE COSTS	Office space, equipment, maintenance and internet.	Provide a productive work environment.
 LEGAL & COMPLIANCE	Registrations, legal fees, patents, audits and filings.	Stay compliant and protect your business.
 WORKING CAPITAL	Inventory, receivables, payables, cash flow buffer.	Ensure liquidity to manage day-to-day operations.
 EMERGENCY RESERVE	Buffer fund for unexpected risks and uncertainties.	Helps you stay resilient in tough times.



FUNDING REQUIRED = TOTAL COSTS – AVAILABLE RESOURCES

Plan for at least 12–18 months of runway.

BUILD YOUR 12-MONTH FUNDING ESTIMATE



Product Development



Marketing & Sales



Operations



Salaries & Team



Technology



Office Costs



Legal & Compliance



Working Capital



Emergency Reserve



ACTIVITY

Prepare a rough 12-month funding estimate for your startup.

1. Product Development ₹ _____
2. Marketing & Sales ₹ _____
3. Operations ₹ _____
4. Salaries & Team ₹ _____
5. Technology ₹ _____
6. Other Costs (Office, Legal, Working Capital, Emergency Reserve) ₹ _____

TOTAL FUNDING REQUIRED

₹ _____



KEY TAKEAWAY

A clear understanding of your costs helps you raise the right amount and use it wisely.



PLAN SMART

Estimate carefully, track regularly and adjust as you grow.



MANAGE WISELY

Funding is fuel. Use it to create value.



GROW SUSTAINABLY

Smart funding decisions today build a strong, scalable tomorrow.



WHAT INVESTORS LOOK FOR

Investors don't just fund ideas. They fund founders who can build great businesses. Here's what matters most.

“

Investors invest in the future you are building, not just what you have built.

”

KEY CRITERIA INVESTORS EVALUATE



1. PROBLEM & SOLUTION

A real, important problem with a unique and scalable solution.



2. MARKET OPPORTUNITY

Large market potential with strong growth prospects.



3. BUSINESS MODEL

Clear value proposition and a sustainable way to make money.



4. TEAM

Passionate, capable and complementary team with execution ability.



5. TRACTION

Early milestones, customer validation and growth indicators.



6. FINANCIAL DISCIPLINE

Sound financial planning and efficient use of resources.



7. COMPETITIVE ADVANTAGE

What makes you different and hard to replicate.



8. GROWTH STRATEGY

Clear plan to scale and enter new markets.



9. TIMING

Right time, right market and the right team.

THE FIVE Ts OF INVESTING



TEAM

Strong, coachable and committed founders.



TRACTION

Early progress and proven execution.



TOTAL ADDRESSABLE MARKET

Big enough market to build a large business.



TECHNOLOGY

Scalable technology or innovative solution.



TIMING

Favorable market conditions and the right moment.



ACTIVITY

Rate your startup on each of the criteria below on a scale of 1 to 5 (1 = Needs Improvement, 5 = Excellent).



Problem & Solution



Market Opportunity



Business Model



Team



Traction



Financial Discipline



Competitive Advantage



Growth Strategy



Timing

What are the top 2 areas you need to strengthen before approaching investors?

1. _____
2. _____



PRO TIP

Investors back clarity, confidence and consistency. Build a strong story, show traction and demonstrate that you can execute.



PREPARING TO RAISE FUNDS

Investors invest in prepared founders. Get your documents, numbers and story ready before you start pitching.

“

Preparation builds confidence. Confidence attracts capital.

”

ESSENTIALS BEFORE APPROACHING INVESTORS



1. BUSINESS PLAN

Clear overview of your business, market, model and strategy.



2. PITCH DECK

Compelling deck that explains your opportunity, solution and ask.



3. FINANCIAL PROJECTIONS

Income statements, cash flow and funding requirements.



4. REVENUE MODEL

How you make money and how it scales.



5. CUSTOMER VALIDATION

Proof that your product / service solves a real problem.



6. LEGAL DOCUMENTS

Company incorporation, MOA, AOA, shareholding pattern, etc.



7. COMPANY REGISTRATION

Private Limited / LLP registration and all compliance in place.



8. FOUNDER PROFILES

Background, skills, achievements and why you're the right team.



9. MARKET RESEARCH

Market size, trends, competition and your positioning.



FUNDING READINESS CHECK

Ensure you have all key elements ready before you start fundraising.



ACTIVITY

Tick the items you have ready. Identify what you need to complete before approaching investors.

- ☐ Business Plan
- ☐ Pitch Deck
- ☐ Financial Projections
- ☐ Revenue Model
- ☐ Customer Validation

- ☐ Legal Documents
- ☐ Company Registration
- ☐ Founder Profiles
- ☐ Market Research
- ☐ Others: _____



QUICK TIP

Investors evaluate risk. The more prepared you are, the lower their risk and the higher your chances.



REMEMBER

Great ideas get attention.
Great preparation gets investment.



SUCCESS FORMULA

 +
  +
  =
 
 Preparation + Credibility + Clarity = Funding

COMMON FUNDRAISING MISTAKES

Avoiding mistakes can save time, protect your equity and help you raise the right way.

“

Learn from others' mistakes so you don't have to pay the price.

”

TOP FUNDRAISING MISTAKES TO AVOID



1. RAISING TOO EARLY

Without validation, you may raise from the wrong investors or on weak terms.



2. UNREALISTIC VALUATIONS

Overvaluing your startup can scare away investors and limit future rounds.



3. WEAK FINANCIAL PLANNING

Poor projections or unclear unit economics reduce investor confidence.



4. NO CUSTOMER VALIDATION

Investors want proof. Ideas without traction rarely get funded.



5. POOR INVESTOR RESEARCH

Approaching the wrong investors wastes time and damages your reputation.



6. INCOMPLETE DOCUMENTATION

Missing information creates doubt and slows down the process.



7. FOCUSING ONLY ON MONEY

Ignoring mentorship, network and long-term value can hurt your growth.



8. LACK OF FOLLOW-UP

No follow-up after pitching means missed opportunities.



9. NOT UNDERSTANDING TERMS

Ignoring terms and conditions can lead to loss of control later.



GOLDEN RULE: Build value first. Raise capital second.



SELF-CHECK ACTIVITY

Which of the above mistakes could your startup be at risk of? Tick all that apply and write how you will avoid them.

- ☐ Raising too early _____
- ☐ Unrealistic valuations _____
- ☐ Weak financial planning _____
- ☐ No customer validation _____
- ☐ Poor investor research _____
- ☐ Incomplete documentation _____
- ☐ Focusing only on money _____
- ☐ Lack of follow-up _____
- ☐ Not understanding terms _____
- ☐ Other: _____



PRO TIP

Investors invest in founders, not just ideas. Be credible, coachable and consistent.



START SMALL

Prove your model, build traction and raise in stages.



BE TRANSPARENT

Share clearly. Honesty builds trust.



BUILD RELATIONSHIPS

Strong relationships open doors and bring long-term support.



DELIVER RESULTS

Execute well and show consistent progress.

YOUR STARTUP. OUR FUTURE. LET'S BUILD IT TOGETHER.

Funding is not the finish line.
It's the fuel that helps you
create impact at scale.

“

Big visions need
smart funding.
Strong execution
creates lasting impact.

”



NEXT STEPS

- ✓ Review and refine your pitch
- ✓ Connect with potential investors
- ✓ Keep learning and building
- ✓ Stay persistent and adaptable

INVESTOR-READY STARTUP CHECKLIST



CLEAR VISION

A compelling mission
and value proposition.



STRONG TEAM

Skilled, passionate and
complementary team.



VALIDATED PROBLEM

Proven problem worth
solving in the market.



SCALABLE SOLUTION

A product / service with
high growth potential.



SOUND FINANCIALS

Realistic financials and
clear use of funds.



COMPELLING PITCH

Simple, clear and
impactful storytelling.



MARKET ADVANTAGE

What makes you unique
and hard to compete with.



TRACTION & PROOF

Early results that show
your startup works.



THE RIGHT ASK

Ask for the right amount,
for the right purpose.



GROWTH ROADMAP

A clear plan to scale and
maximize impact.

THE FUNDING JOURNEY



IDEA

Identify a real
problem



BUILD

Create your
solution



VALIDATE

Test, learn and
prove it works



PITCH

Share your story
with investors



FUND

Get the right
funding



GROW

Scale, impact
and succeed

**FUNDING FUELS
YOUR DREAM.**
**EXECUTION
BUILDS YOUR
LEGACY.**



Every great startup begins with a dream.
Every successful startup grows with the right support.
Every lasting impact starts with **you**.

KEY TAKEAWAYS

- ✓ Understand what investors look for.
- ✓ Prepare well and avoid common mistakes.
- ✓ Build credibility, traction and relationships.
- ✓ Raise smart capital and use it wisely.
- ✓ Stay focused on long-term impact.



BELIEVE. PREPARE. PITCH. PARTNER. PROSPER.



KEEP LEARNING

Continue learning and stay
updated with market trends.



NETWORK WISELY

Build meaningful relationships
with mentors and investors.



STAY PERSISTENT

Rejections are redirections.
Keep refining and moving forward.



MEASURE IMPACT

Track your progress and
create lasting value.



CELEBRATE MILESTONES

Every step forward is
a step closer to your dream.